

9.2 EQUITY

(Note: The concept of equity was not included in the AL syllabus. The only relevant topic is about wage determination in the factor market.)

Multiple Choice Questions

1985/AL/I/28

Which of the following groups would most likely be harmed by a minimum wage law?

- A. teenagers with low productivities.
- B. salesmen who are paid by commission.
- C. waiters who are paid mainly by tips.
- D. technicians skilled in specialized techniques.

1991/AL/I/12

Workers in Hong Kong earn higher wages than those in the Philippines because

- A. there is a smaller labour supply in Hong Kong.
- B. the labour unions in Hong Kong are stronger.
- C. the workers in Hong Kong are more productive than those in the Philippines.
- D. the living standard in Hong Kong is higher.

1991/AL/I/24

God may have started out to create all men equal, but our parents intervened. Natural differences in abilities, attributes and tastes go far to explain wage differences. Economics tells us that

- A. the government should therefore set things right, and a socialist state is therefore preferable.
- B. the best condition is from whom according to ability and to whom according to needs.
- C. with equal education, people will have equal ability.
- D. with private property rights, the more productive your labour and the greater the demand for your services relative to its supply, the higher your wage rate.

1993/AL/I/26

The more human capital an individual worker brings to the labour market,

- A. the higher will be his marginal product.
- B. the easier it will be for him to find work.
- C. the more difficult it will be for him to find work.
- D. the more hours of labour he will be willing to supply.

1993/AL/I/30

An employer observes that when one employee is sick (and does not come to work), the value of output falls by \$500 per day. If two workers are sick, the value of output falls by \$1 200 and when three workers are sick the value of output falls by \$2 100. Suppose the wage rate is \$750 per man-day, the employer should

- A. keep the same number of workers.
- B. fire one worker.
- C. fire two workers.
- D. fire three workers.

1996/AL/I/03

In a competitive labour market, two industries require the same type of labour. Suppose the marginal productivity of labour in Industry A is higher than that in Industry B. In the absence of transaction costs, which of the following statements is correct?

- A. If labourers are switched from Industry B to Industry A, then the value of the total output of the industries will increase.
- B. Employers in Industry A will lay off some workers who will then be employed in Industry B.
- C. The labour demand curve for industry A will shift upward and that for industry B will shift downward.
- D. The labour demand curve for Industry A will shift downward and that for Industry B will shift upward.

1998/AL/I/04

In a competitive market, the observed wage rates of men are generally higher than those of women. This implies

- A. more men will be employed.
- B. more women will be employed.
- C. the marginal productivity of men is generally higher than that of women.
- D. None of the above.

1999/AL/I/26

In a competitive labour market, the wage rate received by a worker depends on

- A. his marginal productivity.
- B. the alternative offers he receives.
- C. the market demand for the product he produces.
- D. All of the above.

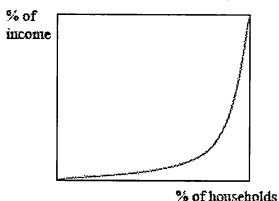
2007/AL/I/17

A researcher reported that people with good looks receive an income about 5% higher than average workers, other abilities adjusted. This implies

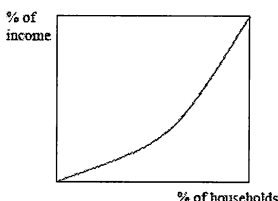
- A. discrimination.
- B. good looks are a capital asset.
- C. it pays to dress nicely.
- D. All of the above.

SP/DSE/I/19

Study the following Lorenz curves of two economies.



Lorenz curve of Country A



Lorenz curve of Country B

From the above diagrams, we can conclude that

- A. the income distribution of Country A is more even than that of Country B.
- B. the income distribution of Country B is more even than that of Country A.
- C. the high-income group in Country A earns a higher income than that in Country B.
- D. the high-income group in Country B earns a higher income than that in Country A.

PP/DSE/I/18

The following table shows the Gini coefficient of Economy A from Year 1 to Year 4.

Year	Gini coefficient
1	0.534
2	0.563
3	0.609
4	0.614

Based on the above information, which of the following statements is/are correct?

- (1) The income of high-income households increases while the income of low-income households decreases.
- (2) The income distribution becomes more uneven.
- (3) The general living standard declines.

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1), (2) and (3)

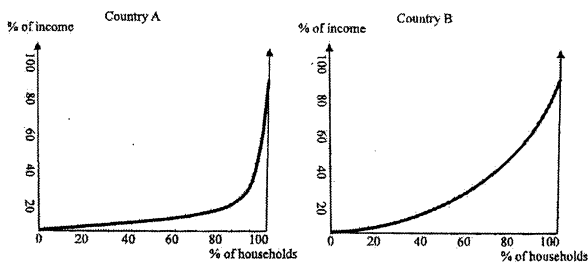
PP/DSE/I/19

Which of the following is the most likely effect of an effective minimum wage law?

- A. Income distribution will become more even.
- B. Total wage earnings of workers will rise.
- C. The employed population will increase.
- D. Non-price competition will emerge.

2012/DSE/I/20

The following diagrams show the Lorenz curves of Country A and Country B:



According to the above two diagrams,

- A. Country B has a higher national income than Country A.
- B. the low income group of Country B has a higher income than that of Country A.
- C. Country A has a more even distribution of income than Country B.
- D. Country A has a larger Gini coefficient than Country B.

2012/DSE/I/21

Which of the following are possible causes of income inequality among individuals?

- (1) difference in race
 - (2) difference in capital ownership
 - (3) difference in health
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2014/DSE/I/20

Which of the following policies can reduce the Gini coefficient based on post-tax post-social transfer monthly household income in Hong Kong?

- A. to raise the standard tax rate on salaries tax
- B. to reduce the marginal tax rate on salaries tax
- C. to reduce the amount of Comprehensive Social Security Assistance Schemes (綜合社會保障援助計劃)
- D. to grant an equal sum of money to the Mandatory Provident Fund accounts of every employee

2015/DSE/I/21

Suppose the post-tax Gini coefficient of an economy is larger than its pre-tax Gini coefficient. This implies that

- A. The government has increased the amount of transfer to the poor.
- B. The tax system of the economy is likely to be regressive.
- C. The problem of income inequality is worse than that in the previous year.
- D. The government should reform the tax system.

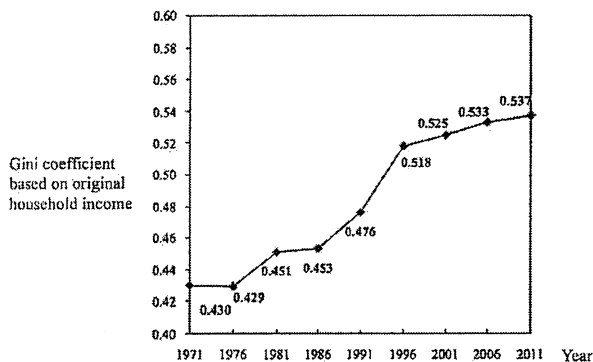
2017/DSE/I/20

Li Ka Shing Foundation gave HK\$5 000 to each 2017 HKDSE candidate living in those remote districts with lower average household income. Which of the following statements about this unconditional gift is correct?

- A. It reduces the income inequality as a larger portion of the receivers of the gift are from lower income group.
- B. It increases the income inequality as it is unfair to the candidates living in the non-remote districts.
- C. As the money is given to all candidates living in those remote districts, income distribution remains unchanged.
- D. It helps equalising opportunities as those candidates will study harder to improve their exam results.

2017/DSE/I/21

The following diagram shows the Gini coefficient of Hong Kong based on original household income.



Based on the above diagram, we can conclude that

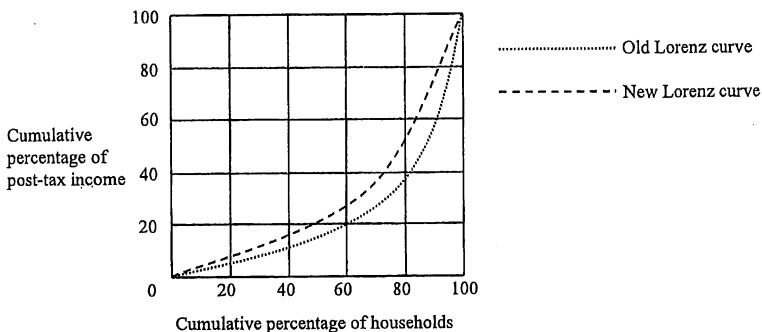
- A. the income level of Hong Kong people increased.
- B. income for high income household increased while income for low income household decreased.
- C. the welfare policy failed to reduce the income inequality.
- D. income gap had been widening.

2017/DSE/I/22

The Work Incentive Transport Subsidy Scheme helps low-income earners reduce their cost of traveling to and from work and encourages them to get a job. Workers meeting certain criteria, such as monthly income and asset limits, are eligible to get the subsidy. Which of the following would likely occur after the implementation of this scheme?

- (1) Labour supply would increase . .
 - (2) Labour productivity would increase.
 - (3) Geographical mobility of labour would increase.
 - (4) Income inequality would decrease.
- A. (1) and (2) only
 - B. (3) and (4) only
 - C. (1), (3) and (4) only
 - D. (2), (3) and (4) only

2019/DSE/I/19



Which of the following policies would result in the above change in the Lorenz curve in Hong Kong?

- A. lowering the profits tax rates
- B. reducing the salaries tax allowance
- C. increasing the progressivity of the salaries tax
- D. raising the air passenger departure tax

2020/DSE/I/13

In recent years, the rise in demand for private cars in China has attracted Volkswagen, a German car manufacturer, to set up car manufacturing factories in China.

The above case illustrates the _____ function of price because _____.

- A. rationing.....private cars are sold to the highest-valued users in China
- B. rationing.....fewer buyers are willing to buy private cars in Germany
- C. allocative.....the supply of private cars falls in Germany
- D. allocative.....more resources are allocated to the production of private cars in China

2020/DSE/I/19

Study the following news extract.

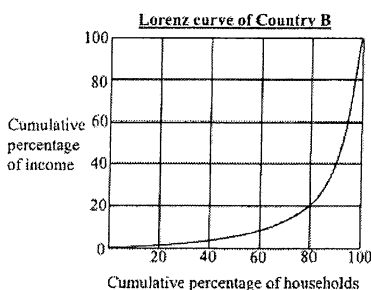
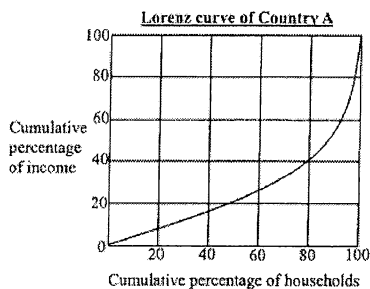
In the last decade, the rent of residential units in Berlin was doubled due to continuous increase in demand. To deal with the problem, the Berlin government imposed a 'Rent Frozen Bill' under which the rent of residential units was not allowed to increase for at least 5 years.

Suppose a similar bill is implemented in Hong Kong. Which of the following statements is correct?

- A. The Gini coefficient will increase.
- B. The property tax revenue of the government will increase.
- C. There will be a deadweight loss if the demand for residential units keeps on increasing.
- D. The property owners will have higher incentives to renovate their flats.

2020/DSE/1/22

Study the following two Lorenz curves.



Compared with Country B,

- the Gini coefficient of Country A is larger.
- Country A has a higher standard of living.
- the top 20% of households in Country A have less total income.
- Country A has a more even income distribution.

2020/DSE/1/23

The following table shows the data of average annual income earned by women and men according to their age in 2018.

Age	Average annual income of women (HK\$)	Average annual income of men (HK\$)
20 – 29	122 000	121 000
50 – 59	482 000	645 000

Which of the following may explain the phenomena shown by the above data?

- Women tend to leave the job market earlier than men for taking care of the family, leading to fewer women to take up senior positions in companies.
 - Sex discrimination in labour market exists in the older generations.
 - Accumulation of human capital contributes to the difference in income between different age groups.
- (1) only
 - (2) only
 - (3) only
 - (1), (2) and (3)

2021/DSE/I/21

Refer to the following policy proposals in Hong Kong.

- Proposal (1): providing a cash subsidy for those who have been on the waiting list for public housing over five years
- Proposal (2): raising the eligible age for the Elderly Comprehensive Social Security Assistance Scheme from 60 to 65
- Proposal (3): raising the standard tax rate of the salaries tax

Which of the above proposals will reduce the Gini coefficient based on post-tax post-social transfer monthly household income in Hong Kong?

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2021/DSE/I/22

The following table shows the information about two top-tier football leagues.

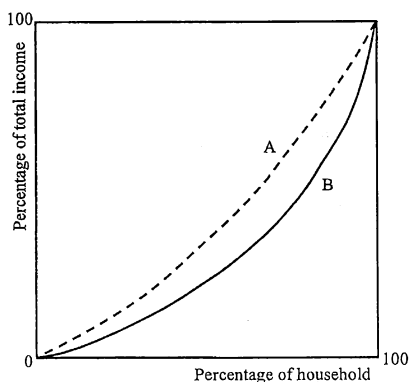
Football league	Average annual income of the players	
	Defensive players	Attacking players
England	£2 751 537	£3 839 875
Italy	£1 536 945	£2 625 975

Which of the following is/are possible reason(s) for the income differences among players?

- (1) The television broadcast revenue generated by the top-tier football league in England is higher than that in Italy.
 - (2) The price level in England is higher than that in Italy.
 - (3) The commercial values of attacking players are higher than those of defensive players since attacking players are more popular.
- A. (1) only
 - B. (2) only
 - C. (3) only
 - D. (1), (2) and (3)

2022/DSE/I/23

Refer to the following Lorenz curves of a country.



- A: based on pre-tax pre-social transfer income
B: based on post-tax post-social transfer income

Based on the above information, which of the following statements about the country is/are correct?

- (1) The tax system is progressive.
 - (2) Social transfer helps equalise outcome.
 - (3) The income inequality problem becomes more serious after the government's redistribution of income.
- A. (1) only
B. (2) only
C. (3) only
D. (1) and (2) only

2024/DSE/I/23

The table below shows the Gini coefficients by industry of an economy.

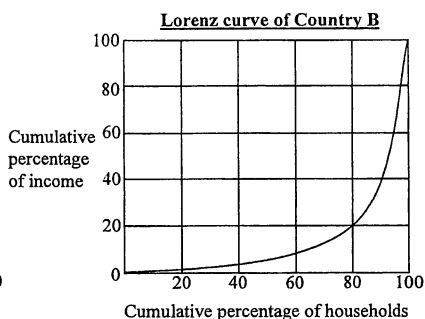
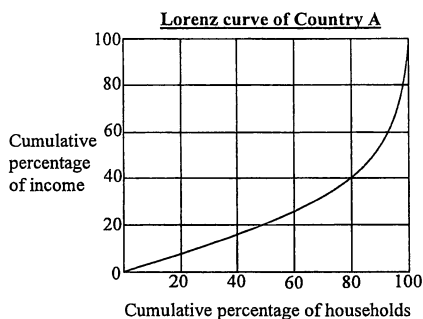
	Gini coefficient
Accommodation and food services	0.34
Finance and insurance	0.51

Which of the following are possible explanations for the above difference in the Gini coefficient?

- (1) The salaries of workers in the accommodation and food services industry are lower than that of professionals in the finance and insurance industry.
 - (2) Compared to professionals in the finance and insurance industry, the levels of human capital tend to be more homogeneous among workers in the accommodation and food services industry.
 - (3) The wage payment method for professionals in the finance and insurance industry is mostly basic salary plus commission while that for workers in the accommodation and food services industry is mostly time rate.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2025/DSE/1/23

Study the Lorenz curves of Country A and Country B below.



Suppose the total incomes in the two countries are equal. Based on the above information, we can conclude that _____.

- (1) Country A has a lower Gini coefficient than Country B
- (2) the bottom 20% households in Country A earn a higher total income than the bottom 20% households in Country B
- (3) the top 20% households in Country A earn a smaller proportion of the country's total income than that in Country B

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

Short & Structured Questions

PP/DSE/II/11(d)

Under the School Textbook Assistance Scheme (STAS), needy students are granted subsidies to cover the costs of textbooks and miscellaneous school-related expenses. Explain how STAS can enhance equity in Hong Kong society. (4 marks)

2012/DSE/II/4

According to a report of the United Nation in 2008, the Gini coefficients of Hong Kong and Beijing were 0.53 and 0.22 respectively.

- (a) Was the income gap between the rich and the poor in Hong Kong wider or narrower than that in Beijing? (1 mark)
- (b) Explain how an increase in the standard tax rate of salaries tax will affect the post-tax Gini coefficient of Hong Kong. (3 marks)

2012/DSE/II/10(b)

In 2011, the Financial Secretary announced the “Scheme \$6 000” which provides \$6 000 to each Hong Kong permanent resident who is 18 years old or above.

Do you think that the government should introduce the “Scheme \$6 000” to improve equity in the Hong Kong society? Explain. (4 marks)

2013/DSE/II/7

Table 1 shows the Gini coefficients by occupation of Hong Kong in the years 2006 and 2011.

Table 1

	Gini Coefficient	
	2006	2011
Construction	0.362	0.385
Financing, insurance, real estate and business services	0.544	0.548

- (a) According to Table 1, which occupation has a smaller income inequality among its workers? Give **TWO** possible reasons that account for such a difference in income inequality. (4 marks)

Table 2 shows the employment distribution by industry section of Hong Kong in the years 2006 and 2011.

Table 2

	Employment distribution by industry section	
	2006	2011
Construction	8.0%	7.7%
Financing, insurance, real estate and business services	17.0%	19.2%

Table 3 shows the Gini coefficients of Hong Kong in the years 2006 and 2011.

Table 3

	2006	2011
Gini Coefficient	0.533	0.537

- (b) How may the data given in Tables 1 and 2 help explain the change in the income inequality of Hong Kong as reflected in Table 3? (4 marks)

2013/DSE/II/11

The government has launched the “Work Incentive Transport Subsidy Scheme”, with the following objectives:

- (1) To relieve the burden of travelling expenses commuting to and from work on the part of low-income households with employed members
- (2) To promote sustained employment

Applicants must meet the monthly income and asset limits of the household (e.g. for a single person, the monthly income cannot exceed \$7 300 and the assets cannot exceed \$72 000) and work no less than 72 hours per month in order to apply for a subsidy of \$600 per month.

- (a) Do you think that the scheme can achieve the above two objectives? Explain. (4 marks)
- (b) (ii) Discuss the effects of the scheme on income inequality. (3 marks)

2015/DSE/II/8

The government is considering spending a certain sum of its budget surplus on the following two proposals:

- Proposal 1: To extend the free education to 15 years*
Proposal 2: To provide unemployment benefits

Evaluate the two proposals in terms of equality. (4 marks)

2016/DSE/II/11

Medical service is one of the basic human needs.

Source B: an extract from the Hospital Authority webpage

The Hospital Authority is committed to providing community-based primary care services. Our target patients include the elderly, low-income individuals, and patients with chronic diseases.

- (c) With reference to Source B, explain how the services provided by the Hospital Authority can enhance equity. (2 marks)
- (d) Many people argue that public clinics should raise the fee to reduce the waiting time. Evaluate this argument in terms of equity. (2 marks)

2017/DSE/II/11(c)

The government of Country X introduces a per-unit subsidy to the education services of private universities.

Explain whether subsidizing education can help improve equality. (3 marks)

2019/DSE/II/2

Li Ka Shing Foundation offered an unconditional cash gift of \$5 000 to each 2018 HKDSE candidate living in Yuen Long, Tuen Mun and Islands districts under the project ‘Decide Well, Spend Wisely’.

- Statement A: The project can improve the public examination results of candidates in those districts. The project
Statement B: can improve equity in Hong Kong.

- (a) Explain whether Statement A is a positive statement. Justify (2 marks)
- (b) Statement B. (4 marks)

2021/DSE/II/10

Masks have become a daily necessity as it is compulsory for people to wear masks in many public areas.

- (a) 'Compulsory mask wearing creates a larger burden to the low-income group than the high-income group.' Justify the statement. (2 marks)
- (b) The Government distributed 'CuMask' to citizens in Hong Kong for free.

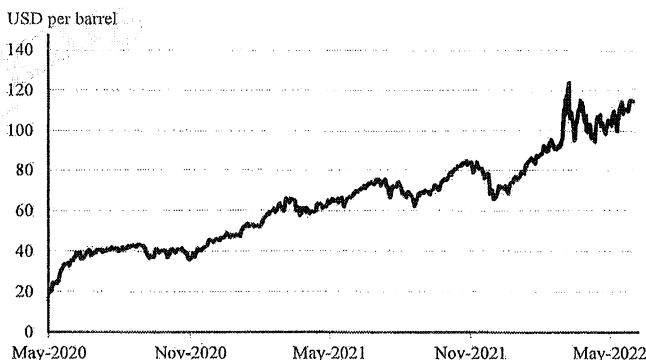
Explain whether the 'CuMask' is a

- (i) free good. (2 marks)
- (ii) public good. (2 marks)

2023/DSE/II/12d

Inflation is a concern in the US. Different causes of inflation have been suggested, including rising crude oil prices, expansionary monetary policy, and high import tariffs.

Source A: Prices of crude oil from May 2020 to May 2022



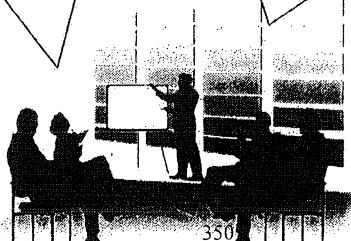
Source B: Some views about energy prices expressed by participants in a forum

A representative of manufacturers:

Changes in crude oil prices affect us a lot. Many of our products such as gasoline and plastics are made from crude oil.

A typical US citizen:

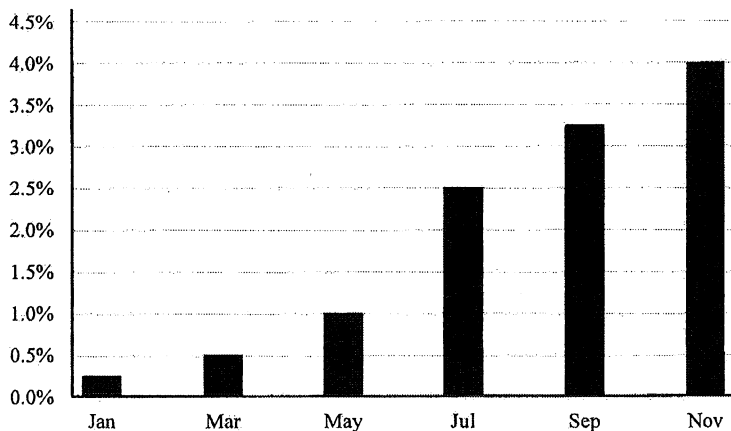
We need gasoline for our daily routines such as driving to work. Although we try very hard to reduce gasoline consumption, our bills for gasoline are still getting higher and higher.



Source C: Money supply in the US

	May 2020	May 2021
Money supply (USD Billion)	17766.9	20 319.6

Source D: Discount rate of the Federal Reserve* of the US from January to November 2022



*Federal Reserve is the central bank of the US.

Source E: Some comments on the US tariffs on Chinese imports

 A US producer	We can no longer bear the costs of tariffs on raw materials imported from China without increasing our product prices.
 An economist	The tariffs cause the prices of imported consumer goods from China to rise. This puts a greater burden on low-income households than on high-income households.

- (d) Apart from adjusting the discount rate, two other strategies have been suggested to address the problem of inflation in the US.

Strategy 1	Raising the salaries tax rate for the high-income group
Strategy 2	Cancelling the tariffs on Chinese imports

With reference to Sources A to E and your own knowledge in Economics, discuss the effects of EACH strategy on the US economy in terms of

- price level,
- equity, and
- trade balance,

(14marks)

